Introduction to Economics

Class 9 — Price controls; international trade and tariffs

Pavel Kocourek

Universitat de Barcelona · Group A6

22 October 2026

Plan for today

Warm-up
Catalonia caps rents: what will happen?
The lost triangle, computed
In pairs: taxes on menús
A rent cap: a shortage, now and over the years
Catalonia: what the data say
Break · Problem set 1 on the front desk
A price floor: the minimum wage
Open borders: who wins, who loses
In pairs: cava at home and abroad
A tariff: who gains, what is lost
EU car duties; why limit trade; in pairs
In one line; before Monday 26 October

Warm-up: which elasticity, what number, what word?

4 % fewer tubs of margarine sold. Two different causes:

1. Its price rose 10 %; nothing else changed

2. Incomes rose 10 %; all prices unchanged

In pairs, one minute; then hands per item.

Rooms for students in Barcelona

1. A new campus brings 2,000 more students
2. Owners turn rooms into tourist lets
3. Because of 2, rents rise: does demand shift too?

In pairs, two minutes; then hands per item.

16 March 2024: Catalonia caps the rent on new contracts

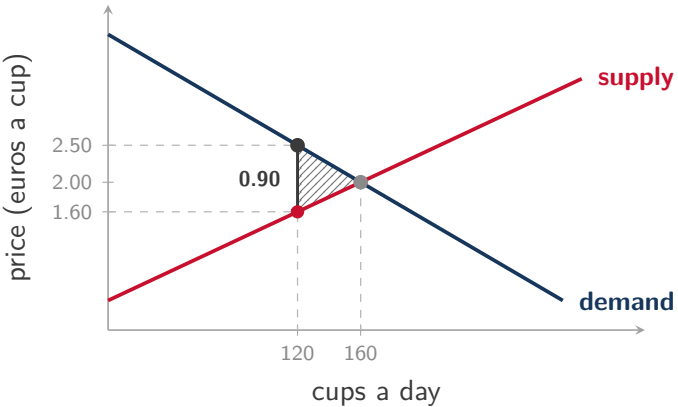


140 towns with a stressed rental market, Barcelona included

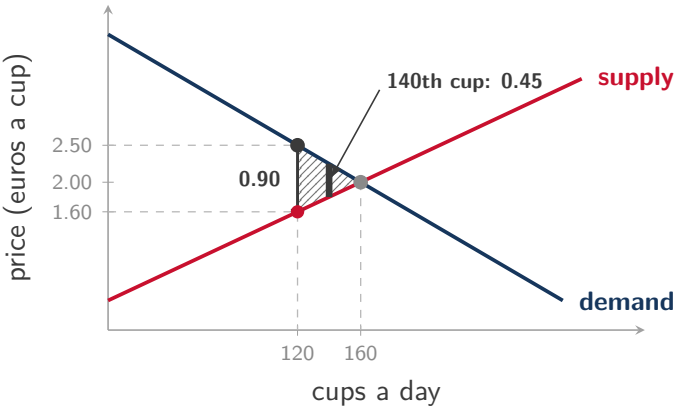
What happens to rents —
and to how many flats get rented?

Ley 12/2023 (Spain's housing law); Resolució TER/800/2024 (DOGC, 14 March 2024), in force 16 March 2024.

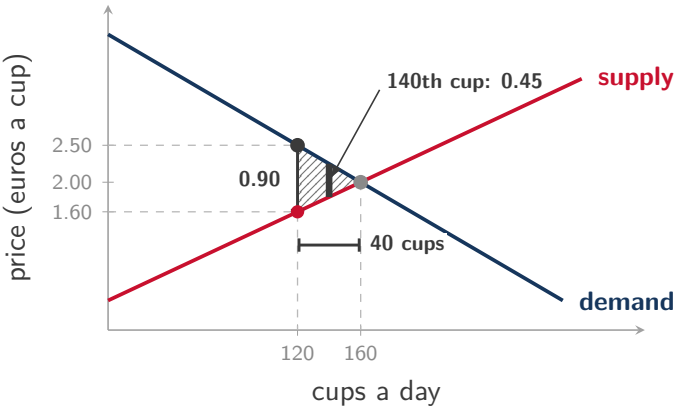
Class 8's lost 18 euros: half the tax times the cups not made



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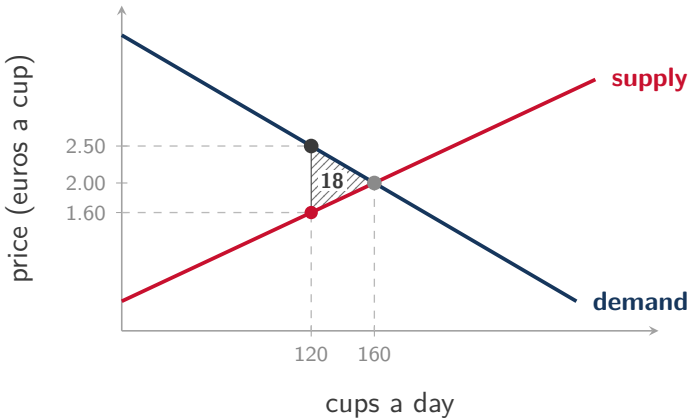


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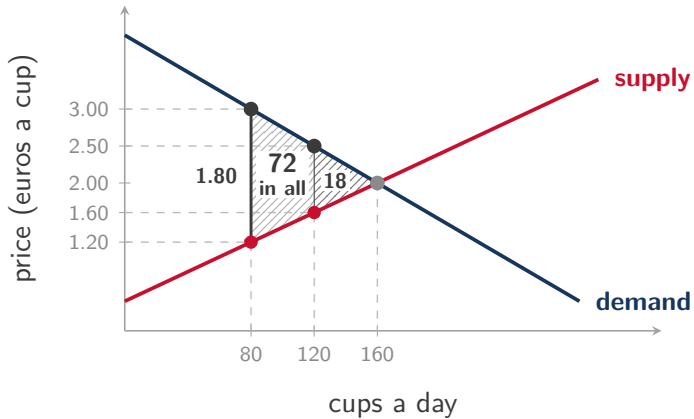


Deadweight loss = ½ × tax × cups lost = ½ × 0.90 × 40 = 18 euros a day.

Twice the tax, four times the loss

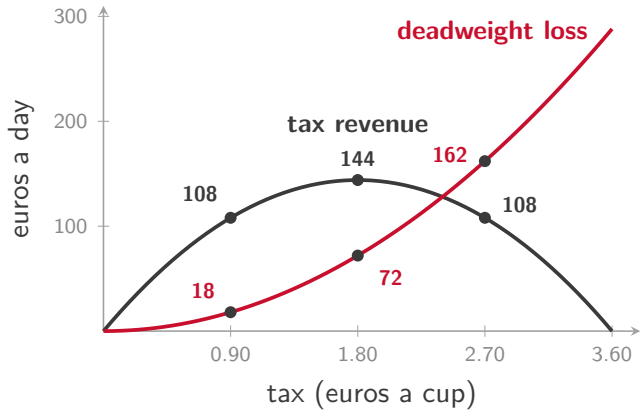


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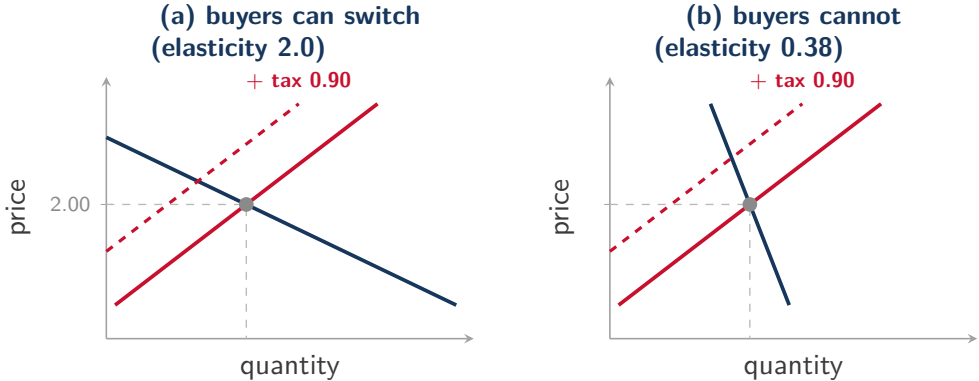
Twice the tax: twice the cups lost, twice the height — four times the loss.

Raise the tax and revenue rises, then falls — the loss keeps growing

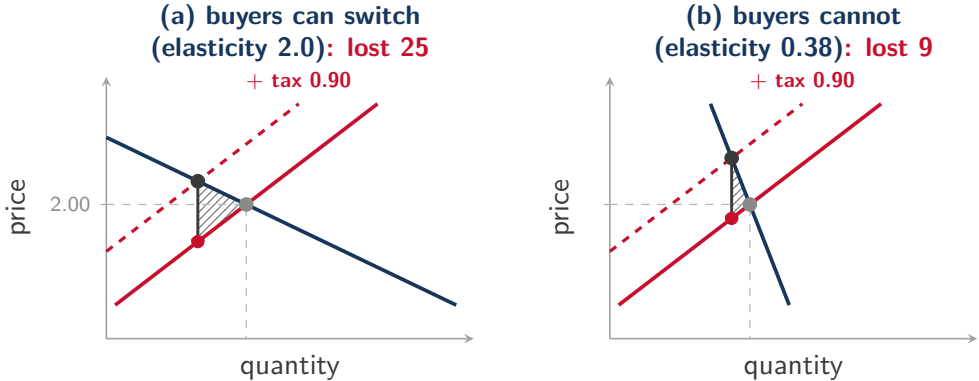


Beyond 1.80 a cup, a higher tax raises less money and loses more.

The same 0.90 tax loses more where buyers can walk away



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The more elastic the market, the more units a tax stops — and the bigger the loss.

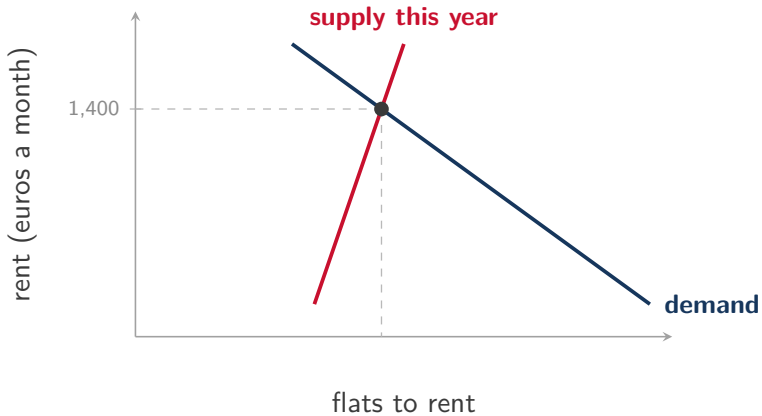
In pairs, four minutes: what a tax on menús loses

Same street, same menús

menús a day	the last one is worth	the last one costs
30	15.00	10.00
45	13.50	11.00
60	12.00	12.00

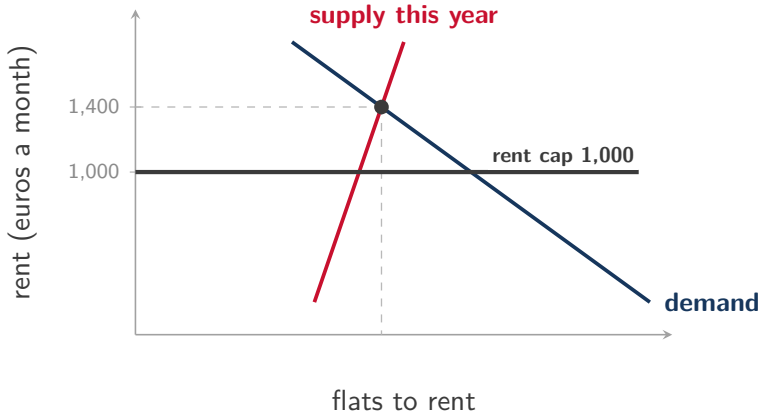
1. Tax 2.50: 45 menús. The lost surplus?
2. Tax 5.00: 30 menús. The lost surplus?
3. Revenue at each tax?

A rent cap of 1,000 on Gràcia's street: 300 flats wanted, 200 offered



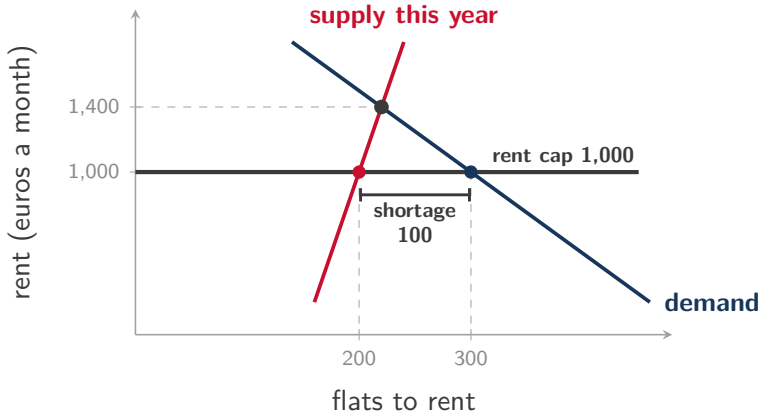
Own numbers (Class 7's Gràcia street); not data.

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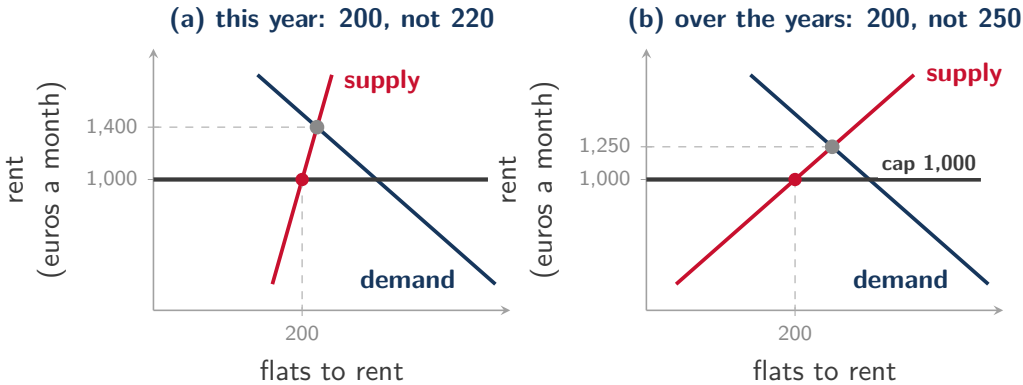
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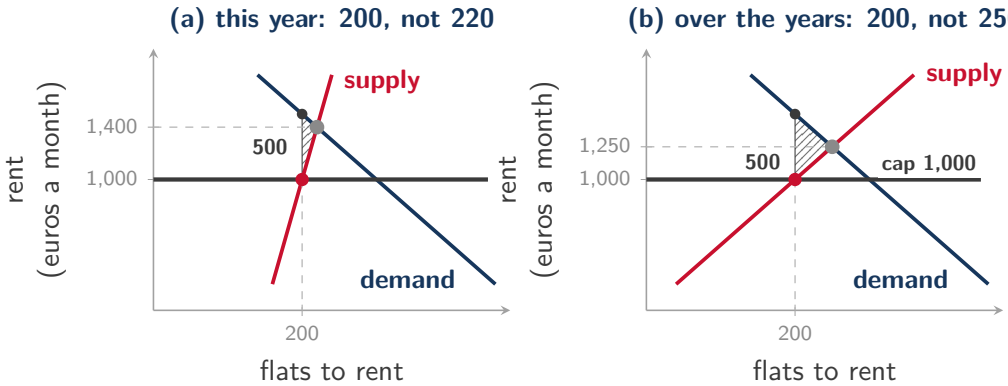
Below the market rent, a cap leaves 100 households searching.

Own numbers (Class 7's Gràcia street); not data.

Over the years the cap costs 50 flats, not 20



Over the years the cap costs 50 flats, not 20



Lost surplus: ½ × 500 × 20 = 5,000 a month this year;
½ × 500 × 50 = 12,500 over the years.

Revealed in class

Before class: from the cap picture, what should happen to rents on new contracts, and to the number of new contracts signed? Which would you expect to change first?

Bottled water with a price cap (optional)

Bottled water at a festival, price capped at 2 euros

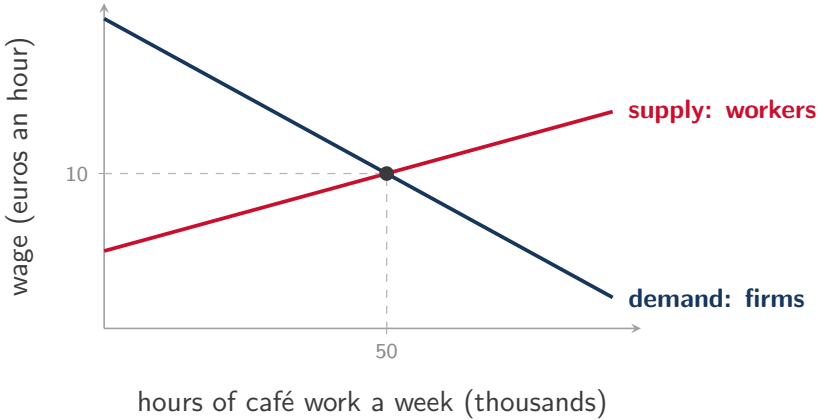
1. Market price 1.50: what does the cap do?
2. Heatwave: demand shifts right, the market price would be 3. Now?
3. Does the cap shift supply?

Break

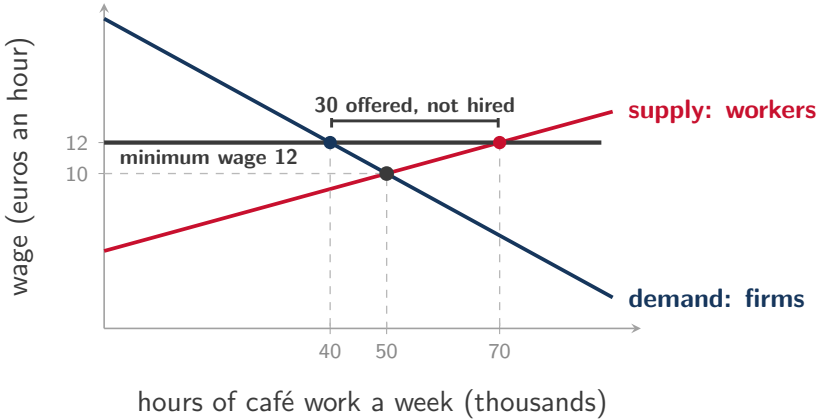
Ten minutes

Problem set 1: on the front desk as you go out

A minimum wage is a price floor: workers offer 70, firms hire 40

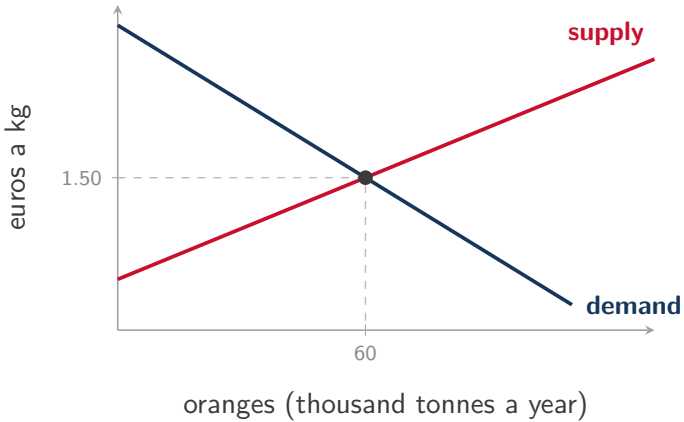


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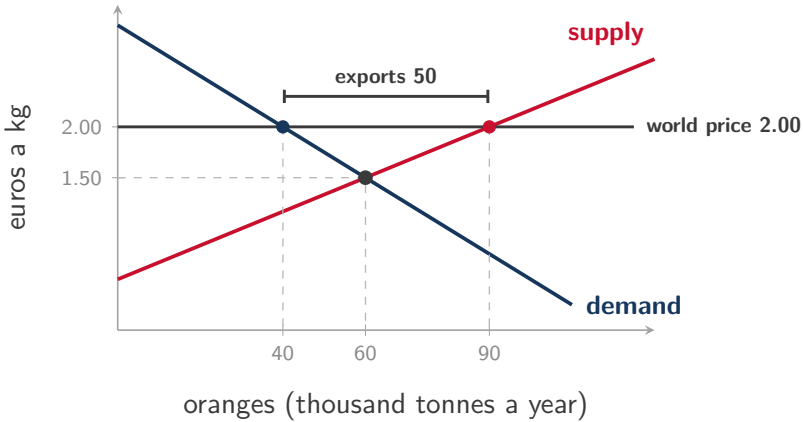


A floor above the market price: sellers offer more than buyers take — here, more hours than firms hire.

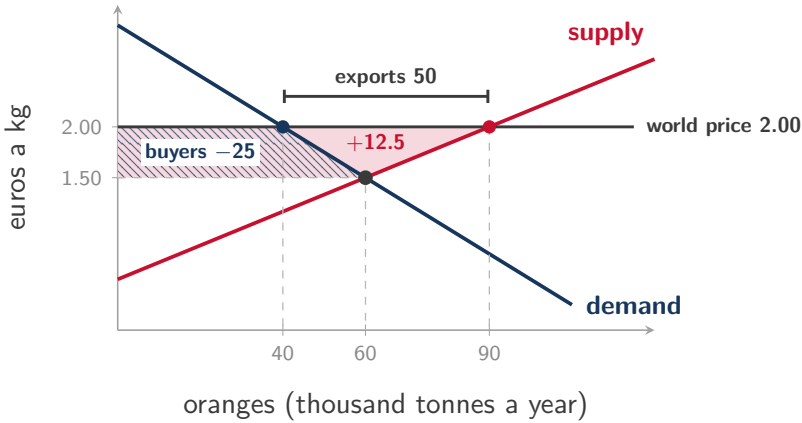
World price above home price: exports; sellers gain, buyers lose less



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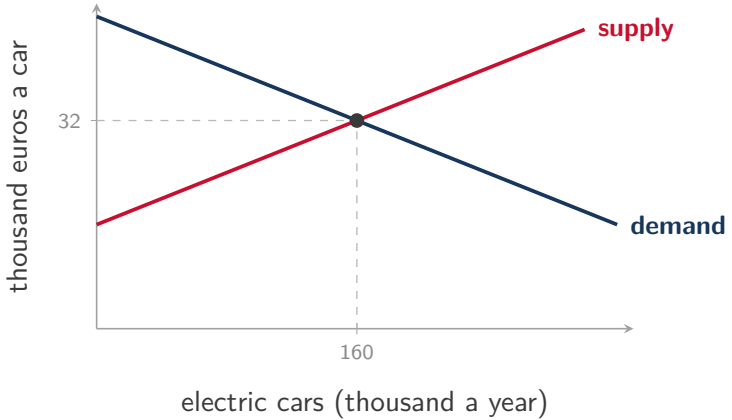
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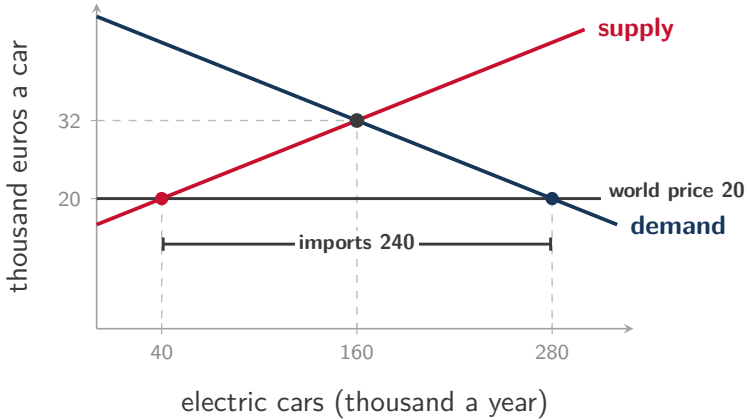
Sellers gain 37.5, buyers lose 25: the country gains 12.5 million euros a year.

1 thousand tonnes = 1 million kg, so euros a kg × thousand tonnes = million euros.

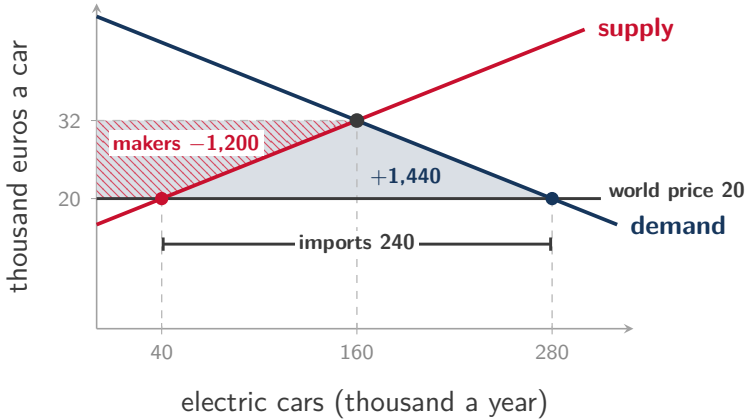
World price below home price: imports; buyers gain, makers lose less



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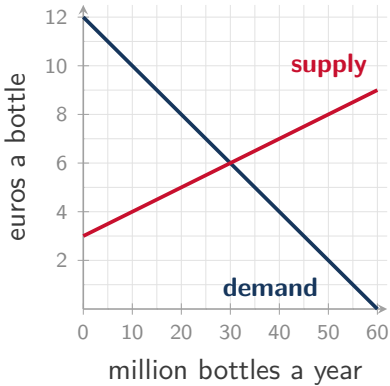
World price below home price: imports; buyers gain, makers lose less



Buyers gain 2,640, home makers lose 1,200: the country gains 1,440 million euros a year.

1 thousand cars × 1 thousand euros a car = 1 million euros.

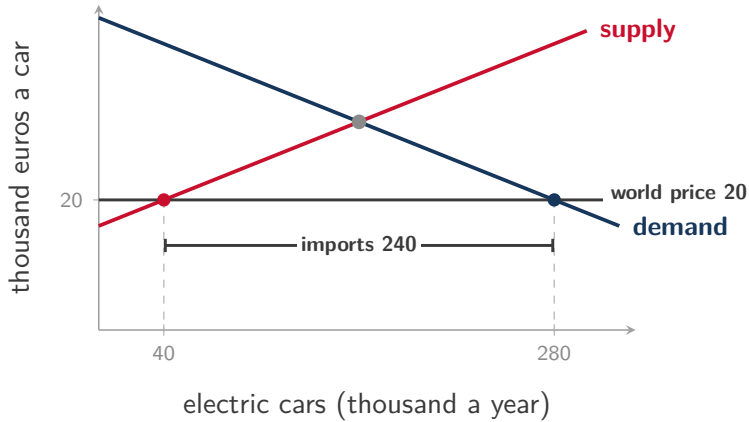
In pairs, four minutes: cava at home and abroad



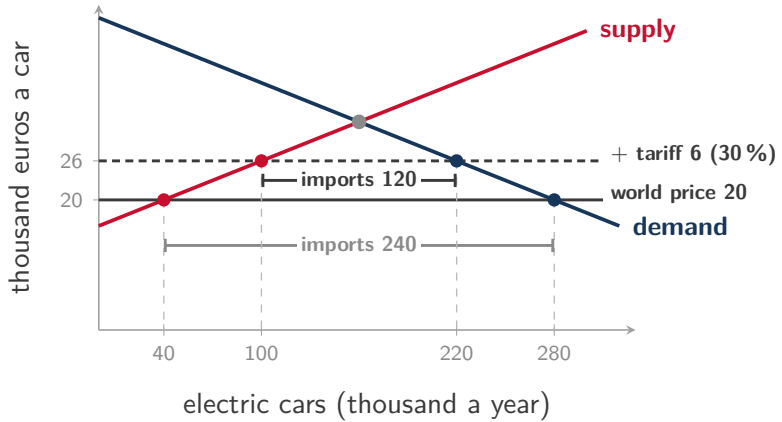
Cava in a small country

1. No trade: price and bottles?
2. World price 8: export or import? How many?
3. At 8, who loses?
4. World price 4 instead?

A tariff of 6 on imported cars: home price 26, imports halve

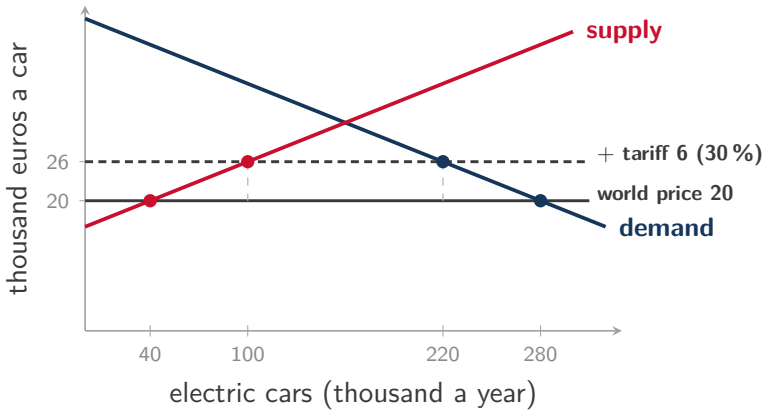


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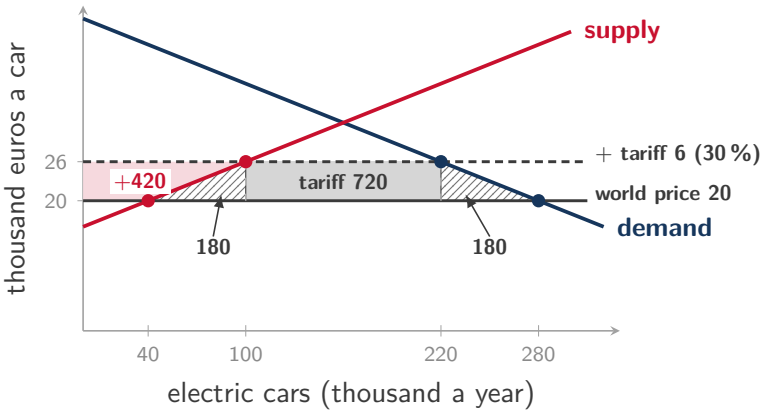


Home price 26: home makers 40 → 100, buyers 280 → 220, imports 240 → 120.

The tariff's bill: 360 million a year that nobody gets



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Buyers lose 1,500 = makers 420 + state 720 + 360 that nobody gets (million euros a year).

October 2024: the EU adds duties on electric cars made in China

EU's ordinary duty on cars (China included)	**10 %**
Plus, electric cars made in China:	
BYD	17.0 %
Geely	18.8 %
SAIC	35.3 %
other cooperating makers	20.7 %

February 2026: one China-made model exempted from the extra duty, for a minimum import price and a cap on numbers.

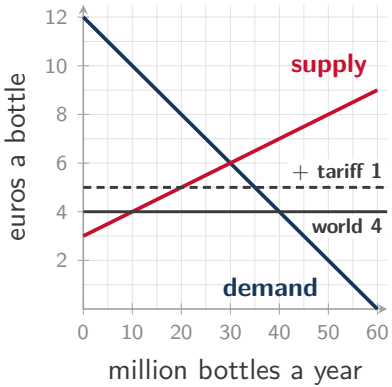
European Commission, IP/24/5589 (29 October 2024) and QANDA/24/3232 (12 June 2024); price undertaking accepted 10 February 2026.

Five arguments for limiting trade — and the catch

argument	the catch
jobs	export industries add jobs
national security	easily stretched to any industry
infant industry	hard to pick future winners
unfair competition	home buyers gain from cheap imports
bargaining chip	threats may have to be carried out

Each protects someone; home buyers pay, two triangles are lost.

In pairs, four minutes: a tariff of 1 euro on imported cava



Cava: world price 4, tariff 1

1. Home price and imports?
2. Tariff revenue?
3. Surplus lost?
4. Who gains, and how much?

Who exports steel? (optional)

Wheat given up for one tonne of steel	
North	4 tonnes
South	2 tonnes

North is faster at both goods.

1. Before trade, where is steel cheaper?
2. World price: 3 tonnes of wheat. Who exports steel?
3. Can North still gain from trade?

Beyond the frontier (optional)

An island: 10 hours of work a day

1 fish: 1 hour · 1 coconut: 2 hours · world: 1 coconut = 1 fish

1. It fishes 10 hours, swaps 3 fish for 3 coconuts. What does it eat?

2. Could it make that alone?

3. Inside, on or beyond its own frontier?

A tax, a cap or a tariff shrinks a market; twice the wedge, four times the loss.

A binding cap: cheaper for some, a shortage for others.

Open borders: the country gains, some lose; a tariff takes part of it back.

Monday: when a market hurts people outside it.

Before Monday 26 October

- Monday: market failures, externalities and public goods
- Read Mankiw & Taylor: Ch. 9, pp. 204–216; Ch. 8, pp. 189–197 (pp. 197–199 optional)
- Problem set 2 (Block 3): handed out Monday; due Monday 2 November
- Practise in Sextant: the units the course page lists



pkocourek@ub.edu · pkocourek.com/teaching/intro-economics · pkocourek.com/sextant/?c=intro-econ